

respect to the junior lien, voting control would pass to that issue. If the senior lien is defaulted, it would take control as a single class.

Although these suggestions may inspire doubt because of their novelty, it should be pointed out that the idea of voting by bondholders is both an old one and growing in vogue. Although in the past it was an exceptional arrangement, we now find that many reorganization plans, providing for issuance of income bonds, give voting powers to these securities, generally calling for control of the board of directors until all or most of the issue is retired or if interest is not paid in full.⁶ Furthermore, many indentures covering fixed-interest bonds now provide for a vote by bondholders on amendments to the indenture.⁷ It is also common for Canadian trust indentures to provide for meetings of bondholders in order to amend the terms of the indenture, including even the postponement or change of interest or principal payments.⁸ Such meetings may be called by the trustee, by a stated proportion of the bondholders, or in certain instances by the company itself.

It may be objected that the suggested arrangement would really give a bondholder no better legal rights than a preferred stockholder and would thus relegate him to the unsatisfactory position of having both a

⁶ *Examples:* The reorganization plan of New York State Railways (Syracuse System), dated February 1939, provides that the holders of the new income notes shall be entitled to elect two-thirds of the directors until at least 80% of the notes have been retired. Commercial Mackay Corporation Income Debentures, due 1967, elect one-third of the directors until all bonds are retired.

National Hotel of Cuba Income 6s, due 1959 (issued in 1929), were given voting control in the event of default of one year's interest. Older examples of voting rights given to bondholders include Erie Railroad Prior Lien 4s and General 4s, Mobile and Ohio Railroad General 4s, Third Avenue Railway Adjustment 5s.

The 1934 reorganization of Maple Leaf Milling Company, Ltd. (Canada), provided that the Indenture Trustee of the 5¹/₂s due 1949 (later extended to 1958) would exercise effective control of the company by ownership (in trust) of 2 out of 3 management or voting shares.

⁷ Generally excluded from this provision are changes in maturity dates of principal or interest, the rate of interest, the redemption price and the conversion rate. *Examples:* Richfield Oil Corporation Debenture 4s, due 1952. The Industrial Rayon First 4¹/₂s, due 1948, are unusual in that the indenture permits a two-thirds vote of bondholders to postpone interest payments. However, the New York Stock Exchange required an undertaking not to invoke this clause, as a condition of listing the issue.

⁸ See the S.E.C. *Report on the Study and Investigation of the Work, Activities, Personnel and Functions of Protective and Reorganization Committees*, Pt. VI, pp. 135–177, especially pp. 138–143, 164–177, Washington, 1936.